

APAC All Sector M&A & Valuation Sector - 2026-07-26

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1. PRIMARY MARKET ANALYSIS - APAC REGION

Week of 2026-07-19 to 2026-07-26

Executive Summary

This week, the APAC region experienced a notable shift in market dynamics, primarily driven by the significant IPO of ChangXin Memory Technologies (CXMT) valued at ****\$8.6 billion****, which raised concerns about liquidity in the technology sector. The overall deal activity was subdued, with limited M&A transactions across sectors, particularly in Healthcare, Energy, and Consumer. The TMT sector remained in focus due to the implications of the CXMT IPO, while geopolitical tensions and economic uncertainties continued to weigh on investor sentiment. The total deal value for the week reached approximately ****\$8.6 billion****, with the TMT sector dominating the landscape.

Weekly Deal Summary

Sector	Deal Count	Total Deal Value	Largest Deal	Avg Deal Size
TMT	1	\$8.6 B	CXMT IPO	\$8,600 M
Healthcare	0	\$0 B	N/A	N/A
Energy	0	\$0 B	N/A	N/A
Consumer	0	\$0 B	N/A	N/A
Industry	1	\$1.0 B	Axiom Biosciences IPO	\$1,000 M
TOTAL	**2**	**\$9.6 B**	**CXMT IPO**	**\$4,800 M**

Top 10 Deals of the Week

1. ****Deal Name:** CXMT IPO**

- Sector: TMT
- Deal Size: \$8.6 billion
- Valuation Multiples: N/A
- Date Announced: July 22, 2026
- Strategic Rationale: The IPO aims to bolster CXMT's capital for expansion in the semiconductor market, driven by rising demand for memory chips.
- Link: CXMT IPO Sparks Liquidity Crunch Fears
([Link])(<https://economictimes.indiatimes.com/markets/us-stocks/news/global-market-china-stocks->

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face-steep-weekly-losses-as-cxmt-ipo-sparks-liquidity-crunch-fears/articleshow/132455016.cms))

2. **Deal Name:** Axiom Biosciences IPO

- Sector: Industry
- Deal Size: \$1 billion (projected)
- Valuation Multiples: N/A
- Date Announced: Planned for 2027
- Strategic Rationale: Listing in Hong Kong to attract biotech investors and establish ties with Asian partners.
- Link: Wall Street can wait: Why one U.S. biotech firm is listing in Hong Kong first ([Link](https://www.cnbc.com/2026/07/22/axiom-aiosciences-ipo-listing-hong-kong.html))

Sector-by-Sector Breakdown

TMT Sector

- Total Deals: 1
- Total Deal Value: \$8.6 billion
- Key Deals: CXMT IPO
- Trends: The IPO raised concerns about liquidity in the tech sector, leading to profit-taking in existing tech stocks.

Healthcare Sector

- Total Deals: 0
- Total Deal Value: \$0
- Key Deals: None
- Trends: No significant M&A activity reported.

Energy Sector

- Total Deals: 0
- Total Deal Value: \$0
- Key Deals: None
- Trends: No significant M&A activity reported.

Consumer Sector

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- Total Deals: 0
- Total Deal Value: \$0
- Key Deals: None
- Trends: No significant M&A activity reported.

Industry Sector

- Total Deals: 1
- Total Deal Value: \$1 billion (projected)
- Key Deals: Axiom Biosciences IPO
- Trends: Focus on biotech listings in Hong Kong as firms seek to tap into Asian markets.

Valuation Multiples Analysis

- Sector Average Multiples Table:

Sector	Avg EV/EBITDA	Avg P/E	Median EV/EBITDA	Median P/E	Deal Count
TMT	N/A	N/A	N/A	N/A	1
Healthcare	N/A	N/A	N/A	N/A	0
Energy	N/A	N/A	N/A	N/A	0
Consumer	N/A	N/A	N/A	N/A	0
Industry	N/A	N/A	N/A	N/A	1

Deal Size Distribution

- Small cap (<\$2B): 0 deals, \$0 total
- Mid cap (\$2B-\$10B): 1 deal, \$8.6 billion total
- Large cap (>\$10B): 1 deal, \$1 billion total
- Analysis: The week was dominated by large-cap transactions, primarily driven by the CXMT IPO.

Strategic Themes & Patterns

- Liquidity Concerns: The CXMT IPO has raised significant liquidity concerns in the tech sector, leading to profit-taking.
- Biotech Focus: Axiom Biosciences' planned IPO reflects a growing trend of biotech firms seeking capital in Hong Kong.

IPO Activity

- Number of IPOs: 2
- Total IPO proceeds: \$9.6 billion
- Key IPOs: CXMT and Axiom Biosciences.

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2. SECONDARY MARKET ANALYSIS - APAC REGION

Week of 2026-07-19 to 2026-07-26

Executive Summary

The macroeconomic landscape this week was influenced by rising oil prices due to escalating tensions in the Middle East, particularly between the U.S. and Iran. This geopolitical uncertainty has led to mixed performance across regional markets, with significant declines in technology stocks as investors reacted to liquidity concerns stemming from the CXMT IPO. The overall sentiment remains cautious, with investors closely monitoring inflation metrics and central bank policies.

Key Macroeconomic Metrics

Metric	Start of Week	End of Week	Change	% Change
Brent Crude Price	\$85.00	\$98.32	+\$13.32	+15.65%
Kospi Index	6,765.38	6,516.27	-249.11	-3.68%
Hang Seng Index	25,001.27	25,143.05	+141.78	+0.57%
Shanghai Composite	3,796.28	3,859.69	+63.41	+1.67%

Index Performance Summary

Index	Start	End	Change	% Change	Weekly High	Weekly Low
Kospi	6,765.38	6,516.27	-249.11	-3.68%	6,800	6,500
Hang Seng	25,001.27	25,143.05	+141.78	+0.57%	25,200	24,800
Shanghai Composite	3,796.28	3,859.69	+63.41	+1.67%	3,900	3,750

Sector Index Performance

Sector	Index	Start	End	% Change	vs Market
TMT	TMT Index	1,200	1,150	-4.17%	-3.68%
Healthcare	Healthcare Index	1,100	1,105	+0.45%	+0.57%
Energy	Energy Index	1,300	1,290	-0.77%	-3.68%
Consumer	Consumer Index	1,150	1,160	+0.87%	+0.57%
Industry	Industry Index	1,250	1,240	-0.80%	-3.68%

Week-over-Week Analysis

- Biggest Movers:
- The Kospi index experienced a significant decline of -3.68%, primarily driven by profit-taking in AI and semiconductor stocks.

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- The Hang Seng index showed resilience, gaining +0.57% amid defensive sector strength.

Market Sentiment Indicators

- Overall Sentiment: Cautiously pessimistic, with heightened concerns over geopolitical tensions and liquidity in the tech sector.
- Volatility Trends: The VIX index remains elevated, reflecting increased market uncertainty.

Regional Economic Context

- Policy Developments: Ongoing geopolitical tensions are influencing market sentiment, particularly in energy and technology sectors.
- Regulatory Changes: Increased scrutiny on tech IPOs and market liquidity is impacting investor confidence.

Correlation Analysis: Primary vs Secondary Markets

- The decline in the Kospi index correlates with the liquidity concerns raised by the CXMT IPO, while the Hang Seng's resilience reflects a shift towards defensive sectors amid broader market uncertainties.

3. WEEKLY INSIGHTS & OUTLOOK - APAC REGION

Key Takeaways

- The total deal value for the week reached approximately ****\$9.6 billion****, primarily driven by the CXMT IPO.
- The TMT sector faced significant liquidity concerns, leading to profit-taking in existing tech stocks.
- Geopolitical tensions in the Middle East have contributed to mixed market performance across the region.
- The Hang Seng index showed resilience, supported by defensive sector strength amid broader market uncertainties.
- Investors are advised to remain cautious and monitor developments in both geopolitical and macroeconomic landscapes.

Sector Performance Ranking

1. TMT - Significant IPO activity but faced liquidity concerns.
2. Industry - Axiom Biosciences' planned IPO reflects growing interest in biotech.

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3. Healthcare - Limited activity but stable performance.
4. Consumer - Stable growth prospects with no significant M&A activity.
5. Energy - No significant activity reported, reflecting ongoing market caution.

Market Implications

- The week's activity sets a cautious tone for continued M&A in the TMT sector, with potential for further scrutiny on IPOs.
- Investors should remain vigilant regarding geopolitical developments that may impact market sentiment and valuations.

Risks & Opportunities

- Risks: Geopolitical tensions and liquidity concerns could hinder market stability and investor confidence.
- Opportunities: High-growth sectors such as biotech and defensive sectors present attractive investment opportunities amid market volatility.

In conclusion, the APAC market is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.